प्रधानआयुक्त (सामान्य) सीमाशुल्ककाकार्यालय
OFFICE OF THE PR.COMMISSIONER OF CUSTOMS (GENERAL)
कस्टमब्रोकरअनुभाग, नवीनसीमाशुल्कभवन,बेलार्डइस्टेट, मुंबई- I
CUSTOMS BROKER SECTION, NEW CUSTOM HOUSE, BALLARD ESTATE, MUMBAI – I.

F.No. GEN/57/2021-CBS-O/o Pr Commr-CUS-Gen Zone-1 Date: 18.02.2021

20210277000000617766 **ORDER No. 43/2020-21**

M/s Yash Logistics, (PAN No. AFUPM8071QCHO01) hereinafter referred to as the Customs Broker/CB situated at E-603, Kamla Vihar Society, Mahavir Nagar,Kandivali(W), Mumbai-67, is holding a regular Custom Broker License No 11/1806 issued by Commissioner of Customs.

2. A specific intelligence was received by the officers of the DRI that one Shri. Hardik Shah was importing his consignments of Whey Proteins of various Brands like Dymatize Nutrition, GAT, BPI Sports, Rule 1, etc. and clearing the same from Mundra and Nhava Sheva ports on under-stated values. It was also informed that Shri. Hardik Shah imported his consignments in the name of (i) Pearl International (IEC NO. 0309070325) and (ii) Redasoft Enterprises LLP (IEC No. 0313012873) and that though the consignments were procured by him from the above suppliers based in USA, at the time of Customs clearance of those consignments, Shri. Hardik Shah submitted fabricated Import invoices raised in the name of M/s Edge Distributors LLC, USA, a company controlled by his real brother Shri. Nikhil Shah, who is based in 160, Nancy Lane Wyckoff, NJ 07481, USA. In the invoices raised by M/s Edge Distributors LLC, the value of the Whey proteins was grossly under-stated thereby resulting in loss of Customs duty.

3. Based on the above information, investigations were initiated against the above firms of Shri. Hardik Shah. The office premises of the aforesaid entities was searched on 28.01.2020, which resulted in recovery of certain incriminating documents indicating import and clearance of the consignments of Whey protein and Health supplements in the name of the aforesaid two entities on under-stated values. The residential premises of Shri. Hardik Shah was also searched on the same day which resulted in recovery of Laptop of Shri. Hardik Shah. On the same day, a large quantity of Whey Proteins and other Health Supplements, imported in the past, in the name of M/s Pearl International was detained at the Warehouse premises of M/s Pearl International, situated at Saidhara Complex, Bhiwandi, for further verification.

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4. During the course of investigations, Shri. Hardik Shah appeared in DRI office and admitted that he had been regularly importing his consignments by resorting to under-valuation and that for this purpose, at the time of clearance of the goods from Customs, he was submitting fabricated Import Invoices raised in the name of his brother's company viz. M/s Edge Distributors LLC, USA.

5. On the basis of the documents/evidences gathered during investigation, a huge gap was noticed in the values of these goods, declared to the Customs and their actual values. It has come on record that in respect of the 100 consignments cleared by Shri. Hardik Shah in the past, in the name of his two companies, and three consignments seized and released provisionally, the total customs duty evaded by him is about Rs 15.40 Crores (approx). During investigation, Shri. Hardik Shah has deposited an amount of Rs 2.5 crores towards his duty liability.

6. During investigation, it was observed that Bills of Entry for clearance of 75 consignments of Shri. Hardik Shah were filed by M/s Arihant Shipping Agencies (Customs Broker License No. AAPFA38710CHOO1) at Mundra port. Likewise, Bills of Entry for clearance of 12 consignments were filed by Shri. Nikunj Mehta, Proprietor of M/s Yash Logistics (Customs Broker License No. AFUPM8071QCHO01).

7. During the course of investigation, Shri Ketan Shah, Partner of M/s Arihant Shipping Agencies in his statement recorded on 01.12.2020 and 15.12.2020, under Section 108 of the Customs Act, 1962, inter alia stated that:

7.1 The job of clearance of the consignments of Shri. Hardik Shah was assigned to them by Shri. Nikunj Mehta (Proprietor of CB firm M/s Yash Logistics).

7.2 Shri. Nikunj Mehta had informed him that Shri. Hardik Shah would be importing his consignments from USA and that for the purpose of clearance of the said consignments from Customs, Invoices of M/s Edge Distributors LLC, a company controlled by Shri. Nikhil Shah i.e. brother of Shri. Hardik Shah would be presented; that Shri. Nikunj Mehta further informed him that the values of the goods declared in the said Invoices would be lesser than the actual values of the goods so that Shri. Hardik could save on the Customs duty.

7.3 The documents for filing Bills of Entry were forwarded to him by Shri. Nikunj Mehta from his email id: nikumehta@gmail.com.

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7.4 During the period June, 2017 to January, 2020, he had filed about 75 Bills of Entry for clearance of consignments of M/s Pearl International under the Customs Broker License of M/s Arihant Shipping Agencies; in respect all the said 75 consignments, the documents for filing Bills of Entry for clearance of the goods were forwarded to him by Shri. Nikunj Mehta by e-mail from his email id.

7.5 For filing the Bills of Entry for clearance of the consignments of M/s Pearl International and for assessment and transportation thereof, he had only interacted with Shri. Nikunj Mehta, he had never spoken to or met Shri. Hardik Shah for clearance of the aforesaid consignments.

7.6 For clearance of the aforesaid consignments from Customs, a bill of Rs 25,000/- was raised in the name of M/s Pearl International, in addition, the out of pocket expenses of Rs 25,000/- for clearance of the above consignments were paid, in cash, by Shri. Nikunj Mehta.

8. During the course of investigation, Shri Nikunj Mehta, Proprietor of Customs Broking firm M/s Yash Logistics (AFUPM8071QCHO01), in his statement recorded on 02.12.2020, under Section 108 of the Customs Act, 1962, inter alia stated that:

8.1 Somewhere in the month of February/March 2015, Shri. Hardik Shah (his distant cousin and friend) discussed with him a plan to import consignments of whey proteins and health supplements from his (Hardik's) brother Shri. Nikhil Shah based in New Jersey, USA, Shri. Nikhil Shah was also his cousin and a good friend.

8.2 He (CB M /s Yash Logistics), Hardik and Nikhil discussed the issue on telephone conference call, to save some Customs duty. They (Shah brothers) wanted to clear their consignments on under-stated values.

8.3 For that purpose, Nikhil was to issue Invoices from a company in USA, which is in his control, so that they (Shah brothers) could easily manipulate the value of the goods to be declared to Customs, that they (Shah brothers) wanted him to clear their consignments from Nhava Sheva port; however, he (CB M/s Yash Logistics) knew that it would be difficult to get their consignments cleared from Customs on under-stated values from Nhava Sheva port, besides, the FSSAI (Food Safety and Standards Authority of India) authorities at Nhava Sheva port were also very strict; that being in the clearance business for long, he know that the powers of the FSSAI officers were exercised by the Customs officials at Mundra port, also, at Mundra port, it was

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much easier to get the aforesaid consignments cleared from Customs on under-stated values on the basis of invoices raised by Shri. Nikhil Shah.

8.4 He (CB M/s Yash Logistics), therefore suggested to them (Shah brothers) that it would be easier to get their consignments cleared from Mundra port. Hardik and Nikhil requested him to arrange for services of a Customs Broker who would get their consignments cleared from Customs at Mundra port; they promised to pay him for his services.

8.5 He (CB M/s Yash Logistics) had arranged services of M/s Arihant Shipping Agencies for causing clearance of the consignments of Shri. Hardik Shah from Mundra Customs.

8.6 During the last four years, he (CB M/s Yash Logistics) had filed Bills of Entry for clearance of 12 consignments of Hardik Shah under the Customs Broker License of his firm viz. M/s Yash Logistics.

9. In view of the above, as per the obligations of a Customs Broker, it appears that the said CB has failed in their obligations as per the Regulations 10(d), 10(e), and 10(m) of CBLR, 2018 according to which a Customs Broker Shall:

i) 10(d) advise his client to comply with the provisions of the Act, other allied Acts and the rules and regulations thereof, and in case of non-compliance, shall bring the matter to the notice of the Deputy Commissioner of Customs or Assistant Commissioner of Customs, as the case may be;

ii) 10(e) exercise due diligence to ascertain the correctness of any information which he imparts to a client with reference to any work related to clearance of cargo or baggage;

iii) 10(m) discharge his duties as a Customs Broker with utmost speed and efficiency and without any delay;

10. In the view of above, considering the acts of omission and commission on the part of the Customs Broker firm viz. M/s Yash Logistics (CB No. 11/1806), it appears that the said firm has violated Regulation 10(d), 10(e) and 10(m) of the Customs Brokers Licensing Regulations, 2018 and is liable for action under the provisions of the said Regulations.

11. Accordingly, I pass the following order:-

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ORDER

12.1 I, Principal Commissioner of Customs (General), in exercise of powers conferred upon me under the provision of Regulation 16(1) of CBLR, 2018, hereby suspend the license of M/s Yash Logistics (PAN based Registration NO. AFUPM8071QCH001) bearing Customs Broker License No.11/1806 with immediate effect, being fully satisfied that the Custom Broker has prima-facie not fulfilled their obligations as laid down under Regulation 10(d), 10(e) and 10(m) of CBLR. 2018.

12.2 However, I offer the Customs Broker M/s Yash Logistics an opportunity of personal hearing on 26.2.21 at 5:00 pm. Any written representation against this order should reach the undersigned before the date of hearing.

12.3 M/s Yash Logistics is directed to surrender all the original Custom Passes issued to their employee/partner/director/Proprietor immediately.

12.4 This order is being issued without prejudice to any other action that may be taken against the CB or any other person(s)/firm(s) etc under the provisions of the Customs Act, 1962 and Rules/Regulations framed there under or under any other law for the time being in force.

17.2.21

(Prachi Saroop)
Principal Commissioner of Customs(G)
NCH, Mumbai – I.

To,

M/s Yash Logistics (CB No: AFUPM8071QCH001)
E-603, Kamla Vihar Society
Mahavr Nagar
Kandivali(W)
Mumbai-400067

Copy to:

1. The Principal/Chief Commissioner of Customs, Mumbai I, II, III Zone

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2. The Pr. Commissioner of Customs (Preventive), NCH, Mumbai.
3. CIU's of NCH, ACC & JNCH
4. EDI of NCH, ACC & JNCH
5. Bombay Custom House Agent Association
6. Office copy
7. Notice Board

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